

The Walt Disney Company

NYSE: DIS | Media, Sports and Experiences

Report date: July 15, 2026 Evidence cutoff: Q2 FY2026 Market price: \$97.15

Underwriting status: Current / monitored

HOLD A SMALL POSITION Do not rebuild aggressively yet. Disney remains a monitored turnaround rather than a core retirement compounder.

INVESTMENT CONCLUSION

Executive view

PRICE \$97.15 July 15, 2026	TTM P/E 15.5x Provider GAAP metric	FY2026E P/E 14.3x \$6.81 consensus EPS	DIVIDEND YIELD 1.54% \$1.50 annualized
MARKET CAP ~\$172B Live market quote	NET DEBT ~\$41.7B March 28, 2026	EV / EBITDA 10.7x TTM provider metric	TTM FCF YIELD 4.2% Capex-heavy period

Why the equity can work

SVOD revenue rose 13% and operating income 88% in Q2. Experiences remains a high-margin profit engine. ESPN and Fubo provide a bridge from linear distribution to streaming.

Primary downside mechanism

Linear cash flow can contract faster than streaming scales while rights, content and Experiences capex absorb cash. Large buybacks during weak cash conversion can reduce flexibility.

Bottom line

Disney is no longer an obvious sell near \$97. Streaming has crossed from loss reduction into genuine profit growth, Experiences remains the profit engine and the share count is falling quickly. The valuation is reasonable on adjusted earnings, but not obviously cheap on free cash flow.

Add selectively Below \$85, only if operating milestones remain intact.	Hold \$85-\$110 when the position is already small.	Do not chase Above \$110 without better FCF evidence.	Trim Above \$125 if the thesis has not upgraded or weight exceeds ~2%.
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HOW DISNEY MAKES MONEY

Business model and segment economics

Disney creates and acquires stories, characters and live-sports rights, then monetizes them through theatrical releases, television networks, Disney+/Hulu/ESPN streaming, advertising, licensing, theme parks, resorts, cruise ships, vacation products and consumer products.

FY2025 segment	Revenue	Rev. mix	Operating income	OI mix	OI margin
Entertainment	\$42.47B	45.0%	\$4.67B	26.6%	11.0%
Sports	\$17.67B	18.7%	\$2.88B	16.4%	16.3%
Experiences	\$36.16B	38.3%	\$10.00B	56.9%	27.6%

Profit mix matters: Experiences generated about 57% of FY2025 segment operating income from roughly 38% of gross segment revenue.

Entertainment line	FY2025 revenue	YoY	FY2025 OI	YoY	Margin
Linear Networks	\$9.36B	-12%	\$2.96B	-14%	31.6%
Direct-to-Consumer	\$24.61B	+8%	\$1.33B	>100%	5.4%
Content Sales / Licensing	\$8.49B	+10%	\$0.39B	+20%	4.6%

Linear is shrinking but still highly profitable. The underwrite works if DTC margin expansion replaces linear profit dollars before erosion accelerates.

DURABILITY

Moat, competition and market position

Moat source	Strength	Economic mechanism	What could weaken it
Franchise IP	Strong	Reuse across film, streaming, parks, games and products	Creative misses, fatigue, rights disputes, AI disruption
Experiences assets	Strong	Scarce destinations, installed infrastructure and pricing power	Consumer weakness, inflation, overbuilding
ESPN brand + rights	Moderate / strong	Scarce live audiences and premium advertising	Rights inflation and fragmented distribution
Streaming scale	Moderate	Global base, bundles, data and advertising inventory	Low switching costs and intense competition
Balance sheet / scale	Moderate	Funds global content, technology and physical assets	Heavy commitments during soft cash conversion

Competitor lens

Competitor	Comparable exposure	Disney advantage	Competitor advantage / risk
Netflix	Global streaming + ads	Broader IP monetization + physical experiences	Cleaner pure-play streaming model
Comcast / NBCU	Media, studios and parks	Deeper franchise portfolio	Broadband distribution + Universal parks
WBD	Studios, streaming and linear	Experiences + stronger flexibility	Valuable HBO / Warner IP; leverage risk
Fox	Live sports, news and linear	More diversified monetization	Leaner, focused live-programming model

Market-share conclusion: no single percentage is decision-useful across incompatible categories. Disney's defensible position rests on global streaming scale, ESPN's U.S. sports leadership and an integrated IP-to-destination engine.

REPORTED FY2021-FY2025

Five-year financial deep dive

FY	Revenue (\$B)	Op. margin	CFO (\$B)	Capex (\$B)	FCF (\$B)	Net debt (\$B)	ROIC
2021	\$67.42	5.4%	\$5.57	\$3.58	\$1.99	\$42.35	2.0%
2022	\$82.72	8.2%	\$6.01	\$4.94	\$1.07	\$40.64	2.6%
2023	\$88.90	10.1%	\$9.87	\$4.97	\$4.90	\$36.49	3.6%
2024	\$91.36	13.0%	\$13.97	\$5.41	\$8.56	\$43.52	5.4%
2025	\$94.43	14.6%	\$18.10	\$8.02	\$10.08	\$39.73	8.1%

Revenue 2021: \$67.4B 2022: \$82.7B 2023: \$88.9B 2024: \$91.4B 2025: \$94.4B	Free cash flow 2021: \$2.0B 2022: \$1.1B 2023: \$4.9B 2024: \$8.6B 2025: \$10.1B
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Owner earnings

Owner earnings proxy = cash from operations less total capital expenditures. FY2025 was about \$10.1B. The measure is conservative because Disney does not separate maintenance and growth capex, while content spending runs through operating cash flow.

Returns on capital

Provider ROIC improved from about 2% in FY2021 to 8.1% in FY2025. That is a major recovery, but still below elite capital-light compounder territory.

Q2 FY2026

Latest quarter and guidance

Q2 REVENUE \$25.17B +7% YoY	SEGMENT OI \$4.60B +4%	ADJUSTED EPS \$1.57 +8%	Q2 FCF \$4.94B +1%
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Q2 segment	Revenue	YoY	Operating income	YoY	Read-through
Entertainment	\$11.72B	+10%	\$1.34B	+6%	SVOD margin 10.6%
Sports	\$4.61B	+2%	\$0.65B	-5%	Rights and marketing pressure
Experiences	\$9.49B	+7%	\$2.62B	+5%	Cruise capacity + guest spend

Streaming inflection SVOD revenue rose 13% to \$5.49B; operating income rose 88% to \$582M; margin reached 10.6%.	Cash-flow caution H1 FCF fell 53% to \$2.66B due to tax timing, content spending and higher Experiences capex.
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Category	Management guidance	Consensus / anchor	Interpretation
FY2026 adjusted EPS	+12% ex-53rd week; +16% including it	\$6.81 consensus	~14.3x current price
FY2026 repurchases	At least \$8B	N/A	Accretive only if funding quality improves
Q3 segment OI	Approximately \$5.3B	Q3 EPS ~\$1.77	Next execution checkpoint
FY2027 adjusted EPS	Double-digit ex-53rd-week lap	\$7.47 consensus	~13.0x current price
FY2026 capex / content	~\$9B / ~\$24B	N/A	Heavy reinvestment burden

UNDERWRITING THE REINVESTMENT

Growth drivers and capital allocation

Driver	Evidence	Return requirement	Failure signal
SVOD margin	Q2 revenue +13%; OI +88%	Pricing, ads and retention outgrow cost	Margin stalls below 10%
ESPN DTC	Digital revenue offset linear pressure	Preserve economics after rights + product cost	Sports OI falls as acquisition costs rise
Experiences	Q2 revenue +7%; new cruise capacity	Incremental returns exceed cost of capital	Weak demand as depreciation rises
Franchise content	Cross-platform monetization	Hit rate covers content spend	High spend without durable engagement
Technology / AI	Production, monetization, productivity	Measurable unit-cost or yield benefit	Creator / legal risk or no savings

Capital item	Latest evidence	Assessment
Capex	\$8.0B FY2025; ~\$9B FY2026 plan	Raises capacity and depreciation before returns arrive
Content spend	\$23B FY2025; ~\$24B FY2026 plan	Supports all media segments; hit and rights risk remain
Debt	\$47.36B gross; \$41.68B net	Investment grade, but higher after new borrowing
Buybacks	\$5.5B H1; at least \$8B target	Share count down 2.6%; funding quality is central
Dividend	\$1.50 annualized	Supplemental, not an income-stock thesis
Transactions	Fubo + NFL assets / ESPN stake	Strategic bridge with integration complexity

Financed-growth test H1 operating cash flow was \$7.65B while capex, dividends and buybacks totaled about \$11.82B. Borrowings rose by a net \$4.99B. Tax timing explains part of the mismatch, but sustained debt-funded capital returns would be a red flag.
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GOOD COMPANY VS. GOOD STOCK

Valuation and what is priced in

Metric	Current	Interpretation
Price / TTM GAAP EPS	15.5x	Reasonable, with comparability caveats
Price / FY2026E adjusted EPS	14.3x	Discount to Netflix; mature mixed-quality portfolio
Price / FY2027E adjusted EPS	13.0x	Attractive if FCF recovers
EV / TTM EBITDA	10.7x	Moderate for media + experiences
Price / TTM FCF	23.7x	Not cheap during capex-heavy period
Dividend yield	1.54%	Supplemental return

What is priced in

At \$97.15, Disney does not need a premium growth multiple. Roughly \$9.5-\$10 of FY2030 EPS at a 15x exit multiple can support a low-double-digit total return. The market is pricing continued streaming progress and healthy Experiences, but also ongoing linear decline and only moderate terminal quality.

Reverse valuation: a 10% annual return through FY2030 needs roughly \$145 of terminal total value. At a 15x P/E, that implies around \$9.1-\$9.7 of FY2030 EPS depending on dividends.

EXPLICIT ASSUMPTIONS

Five-year scenarios through FY2030

Case	FY2030 rev.	Op. margin	Adj. EPS	FCF	Exit P/E	Implied price	Cum. div.	Annualized return
Bear	\$109B	13.5%	\$6.50	\$7.5B	12x	\$78	\$8	-2.9%
Base	\$120B	17.0%	\$10.00	\$12.0B	15x	\$150	\$9	12.4%
Bull	\$130B	19.0%	\$12.50	\$16.0B	18x	\$225	\$10	23.4%

Bear Linear decline outruns streaming gains; parks returns disappoint; elevated capex keeps FCF subdued.	Base SVOD margins expand, ESPN DTC preserves economics, and Experiences grows at mid-single digits.	Bull Streaming scales internationally, ESPN gains traction, and new capacity earns strong incremental returns.
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These are explicit operating cases, not price targets. They apply P/E to adjusted EPS and add approximate cumulative dividends; enterprise-value multiples are not mixed with equity earnings.

WHAT BREAKS THE THESIS

Risks and falsifiers

Risk	Mechanism	Falsifier / red flag
Linear-TV erosion	High-margin cash declines faster than DTC scales	Linear OI down >15% for two periods without DTC offset
Sports rights	Rights costs compress margins	Sports OI below -10% with weak digital offset
Streaming	Churn / content / ads stall margins	SVOD margin below 8%
Experiences	Demand weakens as fixed cost rises	OI decline with rising capex
Capital allocation	Returns exceed durable FCF	Net debt rises again in FY2027
Content slate	High spend without hits	Two-year slate weak near \$24B spend
Succession	Complex strategy under new CEO	Guidance resets or leadership churn
Regulatory / IP / AI	Rights and creator disputes raise cost	Material restrictions or content disruption

What must be true

- SVOD sustains a double-digit margin and profit growth outruns linear decline.
- ESPN DTC preserves economics after rights and product cost.
- Experiences capacity earns attractive incremental returns.
- Owner earnings recover enough to fund buybacks and dividends without leverage growth.
- Josh D'Amaro preserves creative quality while enforcing capital discipline.

NEXT CATALYST

Quarterly monitoring dashboard

NEXT SCHEDULED CATALYST	Q3 FY2026 earnings - August 5, 2026
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KPI	Latest	Green	Yellow	Red
SVOD revenue growth	+13%	>10%	5-10%	<5%
SVOD margin	10.6%	>12%	8-12%	<8%
Entertainment OI	+6% Q2; -18% H1	Growth	Flat / mixed	Sustained decline
Sports OI	-5% Q2; -16% H1	Stabilizes	0% to -10%	Below -10%
Experiences OI	+5% Q2; +6% H1	>5%	0-5%	Decline + capex
H1 FCF	\$2.66B, -53%	H2 recovery	Timing persists	No recovery
Net debt	\$41.68B	Declines	Stable	Rises into FY2027
FY2026 adjusted EPS	+16% incl. week	Meets / raises	Low-quality meet	Guide cut

FINAL PORTFOLIO VERDICT HOLD A SMALL POSITION - DO NOT REBUILD AGGRESSIVELY YET Disney has earned its way out of the sell bucket, but not into the core-compounder bucket. Keep the remaining position small, use operating milestones for adds and demand better free-cash-flow funding before increasing conviction.
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EVIDENCE APPENDIX

Sources, assumptions and confidence

- [S1 - Disney FY2025 Form 10-K](#)
FY2025 financial statements, segment economics, risks and capital allocation.
- [S2 - Disney Q2 FY2026 Form 10-Q](#)
Latest balance sheet, cash flow, debt, segment results and capex/content spending.
- [S3 - Disney Q2 FY2026 earnings release](#)
Latest quarter, SVOD economics and management guidance.
- [S4 - Disney CEO succession announcement](#)
Josh D'Amaro succession and effective date.
- [S5 - Disney Q3 FY2026 webcast event](#)
Next scheduled earnings catalyst on August 5, 2026.
- [S6 - Financial Modeling Prep via Bigdata company tearsheet](#)
Current valuation ratios, five-year normalized history and provider consensus estimates; retrieved July 15, 2026.

Assumptions and confidence

Item	Treatment
Owner earnings	CFO less total capex; growth and maintenance capex are not separated
ROIC / ROE	Provider-calculated series used consistently across five years
Consensus	Provider-normalized estimates; management guidance shown separately
Scenarios	Analyst judgment, rounded and intentionally broad
Portfolio posture	Based on prior DIS reduction and 8-10 year quality-first retirement plan

Educational research only; not individualized investment, tax or legal advice. Market data, estimates and company guidance can change. Scenario values are illustrative and can be wrong.